Supply and Distribution

Dictionary for Noobs

Allocation – gallons a supplier allows us to purchase in a day/week/month. "Phillips 66 has us on a daily allocation in Renton"

ATG – Automatic Tank Gauge, (which is also known as a tank monitor, tank reader, tank gauge) is an electronic device that monitors the level of fuel in a tank and generates a warning when fuel is low. Over a period of time, other information can be gained from the ATG, such as if the tank is leaking and if water is present. PetroCard is not in the business of maintaining the ATG's for customers, just utilizing the information generated from them. But there are exceptions.

BBI – Bristol Bay Industrial, PetroCard's Parent company

Bbl – Barrell. One bbl is equivalent to 42 gallons. 10,000 bbl = 442,000 gallons

Bacon Bomb – sampling device that allows the user to remove a sample of fuel from the bottom of a storage tank. Not to be confused with Bacon Explosion.

Bacon Bomb

Conoco – Today Conoco is a lubricants company and no longer associated with the petroleum side. The name is often used interchageably (and incorrectly) with Phillips 66.

COP – legacy accronym for ConocoPhillips. If seen on a document or in a system, change the occurance to P66 if able.

Forecourt - In a filling station, a forecourt is the area where the pumps are present. It is the area outside the sales room or the convenience store of a gas station when customers park their automobiles for filling fuel.

GPO – Gross Product Override. A temporary increase to supply *allocation*.

OPIS – Pronounced "Oh-pis". OPIS is a paid service that collects supplier pricing and distributes pricing reports to subscribers. OPIS indexes like "OPIS Average" are often

used both for buying fuel as well as being used by customers who prepare bids with OPIS as the price basis. “Skagit County buys it diesel at OPIS average plus 2 cents.”

PC – Shorthand for PetroCard, the company you work for.

P66 – Phillips 66 fuel supplier. Refineries in Billings, MT and Ferndale, WA. Terminals in Spokane, Moses Lake, Ferndale, Renton, Tacoma, and Portland.

TLS – Shorthand for a line of commonly used ATGs sold by Veeder-Root. The term is used by itself (“Did you check the TLS?”) but there are different generations of TLS and the distinction between them matters depending on the context of the conversation. A TLS-250 is an old model, TLS-350 is likely still the most common, and TLS-450 is the newest generation.

TVA/TCA – TVA and TCA both refer to a additional discount below a posted or contractual fuel price. In the case of Marathon (legacy = Tesoro) there is always a TCA below their posted OPIS price. This price is available to all competitors.

Veeder-Root – Veeder-Root is a company that makes a variety of fuel station systems but the term is used generally to describe their TLS line of ATGs. “Yo driver, did you check the Veeder-Root before you over-filled the tank!?”

Spill Bucket -- A receptacle embedded in the ground at the end of the main drop tube, its purpose is to capture any product that might remain in the truck's hose once the delivery of the product is concluded and the hose is disconnected from the fill adapter cap. The product captured in it then can be flushed inwards to the storage tank via an internal valve.

Flapper Valve -- A disk inside a pipe or tube that is capable, when in the “closed” position, of restricting the flow of liquid.

Ball Float Valve -- A device installed inside an underground storage tank which, when activated, will slow the flow rate of product being delivered into the tank, and thus reduce the possibility of a spill resulting from an overfill.

Float Sensor -- A level sensor featuring a magnetic float that rises and falls as liquid levels change. The movement of the float creates a magnetic field that actuates a hermetically sealed reed switch located in the stem of the level sensor, triggering the switch to open or close.

Line Leak Detectors -- A device used to detect the presence of a leak in the piping of a remote pumping system.

UST – Underground Storage Tank (filled via gravity dropped fuel)

AST – Above ground Storage Tank (filled via pump-off/pressurized and sealed hose)

Drop Elbow -- Drop Elbows (also known as Tight Fills) connect to the underground tank fill collars to the tanker drop hose. They allow convenient hose connection and prevent hose damage due to kinks. There are 2 types of systems for filling underground gas station fuel tanks: dual point (vapor recovery and fuel drop are done at 2 separate areas with separate elbows) or co-axial (vapor recovery and fuel drop are done using the same elbow at a single point).

Vapor Elbow *(tanker truck)*

Single Point Vapor Recovery Elbow (with photo) *(tanker truck)* -- single point coaxial fuel delivery/vapor recovery elbows with male cam and groove adapters are made with a rugged modular cast aluminum construction for years of trouble free operation.

Co-Axial Vapor Recovery Elbow (with photo) *(tanker truck)* -- 4 in. coaxial vapor recovery delivery elbow is constructed of lightweight aluminum and durable with a low pressure drop to reduce delivery

times. The 3 in./4 in. cam & groove connection is located below vapor connection and reduces stress on adaptor, piping and connection to tank.

Sight Glass – A transparent glass tube or window installed in a tank/hose fitting that allows an observer to view what is happening inside the container, ensuring optimal quality and safety.

API Valve -- API Valves are used for bottom loading and unloading of petroleum tankers.

Fill-Cap -- A device sealing the filling pipe to the petrol tank.

Andrew Rewolinski – PetroCard Employee*:* Controller, very nice. Oversees a lot of the accounting functions. Has been with PC for 23 years, as of 5/2021. Works with **Heath** (PetroCard Pricing Manager) to maintain the carrier freight tables in Excel and updates in Sage as needed. He is also involved in the setups of fuel taxes.

Traci Cabral – PetroCard employee: Account Manager, Fleet Side. Her real name is Traci Vallala since she recently got married, but is keeping Cabral as people know her this way.

Tim Warren – PetroCard employee: Director, Mobile Fueling

Lorrie Kunzler – PetroCard employee: Fuel Inventory Control Specialist

Amy Leach – PetroCard employee: Fuel Billing

Tammy Stinde – PetroCard employee: Director of Human Resources

Ann Otey - PetroCard employee: Front Desk Receptionist in Kent office that has been with PetroCard for 10 years (as of 5/2021). She takes incoming calls daily and directs them to the correct department/person. She is also the office coordinator and assists with any office needs.

Robin Suave` – PetroCard employee: Account Manager, Branded Fuels on Fleet side

Nikole Hill – PetroCard employee: She is in Aberdeen, came with the Masco acquisition. Has almost 10 years of industry knowledge (as of 5/2021) and is responsible for Westport Marina invoicing, transport truck delivery invoicing and also does some reporting for the PA Marina. Tracy Kancz has been training her on fuels billing, also.

Joan Zoller – PetroCard employee: A/R Lead, Credit, Collections - Retired 2022

Rick Foster – PetroCard employee: Fuel Dispatch Manager

Chris Hetzer – PetroCard employee: Lead Cardlock Maintenance Tech - Retired

Wes Sherman - PetroCard employee: Dir. Of Operations (includes Cardlock)

Gwen McGovern – Works for Lee & Estes in dispatch.

Dawn Ramsey – Works for KAG dispatch.

Axxis – Axxis is an integrated suite of software that can be deployed in a modular fashion with plug-in integration to your back office system to automated prices and help you dispatch effectively. Heath uses this program to generate quotes for customers that order bulk loads of fuel – usually 10,000 plus gallons.

Telapoint - The program that Dispatch uses. Inventory Management and Delivery Scheduling software designed specifically for distribution of petroleum products. They build schedules in it amongst many other things.

TripFocus - KAG program that provides delivery details, including real-time information.

Excel PowerPivot - add-on option to Excel. **Power Pivot** is a data modeling technology that lets you create data models, establish relationships, and create calculations. With Power Pivot you can work with large data sets, build extensive relationships, and create complex (or simple) calculations, all in a high-performance environment, and all within the familiar experience of Excel.

DAX –Dax Studio is free add-in software for Excel PowerPivot.

RVP – Reid Vapor Pressure. Volatility is the property of a liquid fuel that defines its evaporation characteristics. RVP is a common measure of and generic term for gasoline volatility. EPA regulates the vapor pressure of gasoline sold at retail stations during the summer ozone.

CSLD - Continuous Statistical Leak Detection (CSLD) is a certified leak-testing technology that continuously monitors fuel height and temperature to detect quiet periods in the underground storage tank and collect leak-detection data during idle time in a database. CSLD uses sophisticated statistical analysis to evaluate all information and discard invalid data. Tests are performed every time new data is collected ensuring the highest quality tank test result. CSLD is third party certified to operate 24/7 while still meeting all federal, state and local compliances requirements for UST testing.

Arb - Arbitrage is basically buying a security in one market and simultaneously selling it in another market at a higher price, thereby profiting from the temporary difference in prices. Such as, trucking to Seattle to purchase fuel at a lower price and returning to sell it at a nice margin down here in Tacoma.

KAG - Trucking Company, Kenan Advantage Group, who delivers about 90% of our loads.

Backhaul - In trucking, a backhaul is hauling cargo back from point B to the originating point A. Since it costs almost as much time to drive empty as fully loaded. This makes economic sense, since it helps to pay for the operating expenses for the trip back to the originating point A for the trucking company and/or trucker.

Split-Load – Loading at multiple racks for a single order, due to pricing or availability. This usually results in a higher cost to the customer due to the time involved. (*Think of picking up fast food to take home to the family for dinner – and needing to stop at multiple places to make everyone happy*).

Split-Drop - A split-drop is when a single order containing multiple products is sent in separate shipments. The customer receives more than one package even though they ordered everything together. (*Think of UPS or whoever breaking up your order into several smaller deliveries).*

Cross-Drop — BIG NO-NO. It is when the driver drops the wrong fuel into the wrong tank, which doesn't always mean it is his fault.

Dome-Out – ANOTHER BIG NO-NO. It is when fuel is overloaded and it hits the sensors at the top of the compartment, meaning there could be a risk of fuel flowing out, which causes the loading rack to be shut down for safety and the truck driver may be temporarily/permanently locked out of that loading facility.

Full Load – Roughly 11,200 gallons of gas, 10,000 gallons of diesel (in WA and OR)

Victor Singh – Retail Site Owner, Warrior Quick Stop, Cle Elum, Wa.

Sanjay – Customer that has two entries in CRM and their gallons are essentially non-existent in 2021, compared to previous years.

"T" - JMT, our largest fuel buyer on the east side. He goes directly to the rack for fuel.

Chad at K&M *(logistics)* – Owner(?) at K&M Fuel LLC, which is a very small fuel transport company with a couple trucks AND a customer/racklifter. Located way up north, in Colville, WA.

Pierre – Pierre from Super Duper Food Store, in Oroville, WA, Customer #20-0095399? DM2 Data is non-existent. He is a friend to Chander, the owner of North Cascade Food Mart.

Ferndale Mike – Owner of Ferndale Gull (branded fuel station), in Ferndale, Wa. Account opened in 1983. Magdy "Mike" Awadalla. He is an important customer to us. Covered his Gull Signage in March 2022 and buys fuel from elsewhere now (Coleman, likely).

CRM – Sage CRM is our customer relationship management software.

Sage – Sage 100 is the billing software that we use at Petrocard.

Blender –Blender pumps are dispensers that draw and blend fuel from two tanks. For example, a blender pump dispenser can offer three grades of gasoline (regular, premium, **mid-grade**) by storing regular and premium in two tanks underground. The dispenser is then able to blend the two to offer mid-grade gasoline. Ethanol blender pumps work the same way, with regular gasoline and E85 stored in two tanks. Intermediate blends are for use in FFVs and offer owners more options. Common blends, in addition to E85, include E25 (25% ethanol, 75% gasoline) and E30 (30% ethanol, 70% gasoline). Labels must clearly indicate blender pump fuels for FFVs. Blender pumps are also a legal method to dispense E15 to conventional vehicles, model year 2001 and newer.

Core Products *(supply and pricing)*:

- Cardlock, of which Diesel is a core product.
- Gas: UNL10E / PRE10E
- Diesel: Dyed and Clear

Spot Buyer Customer – When a volume qualified customer buys at rack pricing and there is no commitment by seller or buyer. It can refer to an immediate purchase or one made in the very near future.

Over-The-Water Customer – Marine customer where fuel transfer is made over the water, under specific conditions.

Contract Customer – When a customer purchases wholesale fuel by contract for a set price per gallon for a steady supply.

Branded Customer - Customer that sells fuel under the big brand signage

CFPP - Cold filter plugging point (CFPP) is the lowest temperature, expressed in degrees Celsius (°C), at which a given volume of diesel type of fuel still passes through a standardized filtration device in a specified time when cooled under certain conditions. This test gives an estimate for the lowest temperature that a fuel will give trouble free flow in certain fuel systems. This is important as in cold temperate countries, a high cold filter plugging point will clog up vehicle engines more easily.

Cloud Point - In the petroleum industry, cloud point refers to the temperature below which wax in diesel or biowax in biodiesels forms a cloudy appearance. The presence of solidified waxes thickens the oil and clogs fuel filters and injectors in engines. The wax also accumulates on cold surfaces (producing, for example, pipeline or heat exchanger fouling) and forms an emulsion or sol with water. Therefore, cloud point indicates the tendency of the oil to plug filters or small orifices at cold operating temperatures.

Biocide -- A biocide is defined in the European legislation as a chemical substance or microorganism intended to destroy, deter, render harmless, or exert a controlling effect on any harmful organism. We use a product by Innospec called Predator 5000 as our "biocide".

Rack-Injected *(fuel properties)*

R99 – Per Opis, it is a renewable diesel, often called "green diesel" or "second generation diesel" and is fuel derived from recently living biomass using a thermal depolymerization process, which meets certain requirements of several "green" governmental agencies.

Splash Blending *(fuel properties)*

APP - PetroCard competitor. Associated Petroleum Products, founded in 1972, is owned by World Fuel Services.

World Fuel Services - PetroCard competitor, who Associated Petroleum Products merged into. World Fuel Services was established in 1984 and is owned by World Kinect Energy Services.

Coleman Oil – PetroCard competitor. Seemingly progressive company that offers similar services as PetroCard, including Cardlock. They're originally out of Idaho and started in 1953 and are all up in our backyard now!

Nelson Petroleum - PetroCard competitor. Bulk fuel provider out of Everett, WA. Founded in 1980. Also provides residential services and lubricants.

Wilson – PetroCard competitor. "Wilson" Oil was acquired by Wilcox & Flegel in 1974….and are often still referred to as "Wilson"

Christensen – Competitor, with lineage dating back to 1935, and headquartered in Richland, WA. Many offerings, including Cardlock, MFF, Jet Fuel, Equipment Loaning, etc.

Snider - Snider Petroleum, Sumner, WA, Since 1947. Competitor offering MFF, lubricants, various petroleum equipment such as fuel tanks, pumps, nozzles, hoses, etc., heating oil, and bulk fuel.

OPL – Olympic Pipeline

YPL – Yellowstone Pipeline

Small & Sons (Don Small & Sons) – Competitor out of Auburn, WA (founded 1960 by Don Small), offering similar services. They seem to be a smaller outfit, but not sure.

DEF – Diesel Exhaust Fluid or a sweet jam from the 80s

Boozip – 4 digit extension on some zip codes that may result in higher delivery cost factored into their pricing.

cpg – Cents Per Gallon

B&O – Business and Occupation tax in Washington state calculated off your gross receipts. There are different classifications, such as Retailing, Wholesaling, Manufacturing, Service/Other and all have varying B&O tax rates. It is NOT the railroad card from Monopoly.

Winterize – Adapting or preparing fuel for use (or storage) in cold weather. Here in our area, the time frame in which people "winterize" is generally November through March. To winterize diesel fuel, innospec is usually added.

Slip-Tank – A slip tank is an auxiliary fuel tank that can be used to transfer smaller loads of fuel – in the neighborhood of 50-75-100 gallons, roughly.

MFF - Mobile Fleet Fueling, where fuel is deposited directly into the customer vehicles or equipment, also a division within PetroCard's Fleet Department lead by Tim Waren, Dir. MFF

Ecoclean – An Innospec additive for diesel fuels that prevents/cleans the buildup of deposits within engines.

Winter Innospec – A winter additive for diesel fuels that is added when temperatures are low. It lowers the temperature point to where the fuel becomes more viscous, allowing for better operation in cold weather.

Ben – Ben Nelson: KAG terminal manager in Tacoma.

Biodiesel - a fuel comprised of long chain fatty acids derived from vegetable oils or animal fats. It is renewable, clean-burning, and a diesel replacement that can be used in existing diesel engines without modification.

GP – Gross Profit

Distillates – Another name for diesel.

DTW – Dealer Tank Wagon

Tank Wagon – Fuel truck that carries around 4500 gallons

T&T – Truck and Trailer

Titan - Cardlock Asset Management Software (Live tank inventories)

Cardlock – Unmanned Fuel Station

Ullage – Total capacity minus current inventory.

Gas – Unleaded or Premium, clear in color.

B5 – Biodiesel blend (diesel with 5% biomatter

B10 – Biodiesel blend (diesel with 10% biomatter)

B20 – Biodiesel blend (diesel with 20% biomatter)

B100 – 100% biomatter fuel that not usable in vehicles, unless the vehicle is modified in someway to utiltize it. B100 is typically used to create the biodiesel blends like B10 or B20.

DS2 – Code for ULSD #2

ULSD – Ultra-low sulfur diesel (AKA regular diesel)

UNL10E – Unleaded Gas w/10% Ethanol

E85 – A blended "Exotic" fuel, also know as a "flex fuel". It is a high level combination of ethanol and gasoline that consists of 51-83 percent of ethanol and gasoline. The percentage of ethanol depends on the geographical location and the time of year (more ethanol is added in the summer). E85 is the most common form of flex fuel available and is more commonly available in the midwestern US region because ethanol is corn-based. It is less available in the PNW and NE regions of the US. There are pros and cons to using E85.

The pros include:

- Less dependence on foreign oil
- Fewer air pollutants released into the atmosphere
- Higher resistance to engine knocking

Disadvantages include:

- Limited to use in flex-fuel vehicles
- Less energy per gallon, leading to fewer miles per gallon
- Not readily available in some regions

Clear Gas – aka non-ethanol gas (pure gas with **NO** ethanol)

CBOB - Conventional Blendstock for Oxygenate Blending. CBOB is a common grade of gasoline produced by refiners in the US. It gets its name from being a conventional grade of gasoline ("C") as opposed to a reformulated grade (such as RBOB) that has tighter environmental specifications.

RBOB - Reformulated Blendstock for Oxygenate Blending, a component that is used to create reformulated gasoline. It has not had oxygenate (ethanol/mtbe) added to it. RBOB has tighter environmental specifications.

Pumpoff - This is where fuel is offloaded via pressurized and sealed hose into an AST (above ground storage tank) and usually takes longer, opposed to a tank below the ground (UST), which is offloaded via gravity.

Retain – A 'retain' is fuel that cannot be offloaded, usually because the customer has ordered too much fuel due to some reason, such as miscalculation or faulty monitoring equipment. PetroCard has a general rule to charge for retains, but it is circumstantial in many cases, whether a charge is imposed. The fuel is generally diverted to a Cardlock, if we are lucky there is one nearby that can take it.

First out – Refers to the first load on a drivers shift. If a drivers schedule is CL 50, CL 44, CL 37, his first out would be CL 50.

Milk Run

Cattle Prod